

NEXPOINT RESIDENTIAL TR INC NXRT

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by

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2026 2027

Price:	21.04	EPS	0	0
Shares Out. (in M):	27	P/E	0	0
Market Cap (in \$M):	558	P/FCF	0	0
Net Debt (in \$M):	1,583	EBIT	0	0
TEV (in \$M):	2,141	TEV/EBIT	0	0

Description

I'm recommending a long position in NXRT: This levered sunbelt multifamily operator has begun to approach financial stress over the past few weeks due to the recent inflation uptick and subsequent Fed hiking cycle – I believe today's valuation represents an asymmetric, event-driven risk reward profile: If macro fundamentals finally improve, the stock can easily multi-bag over the next few years; if fundamentals flatline or get somewhat worse, financial stress could force the company to sell or liquidate, realizing likely ~80%+ upside to current private market value (stock currently trades at \$21, compared to ~\$48 NAV that the company published just last month).

I think this is more than enough upside to compensate for the real, but not yet likely, new risk rapidly being priced into the stock that we are on the verge of the next GFC-level real estate blowup, in which case NXRT is a 0, along with much of real estate PE. [Sorry for two dramatic writeups in a row! This one will be better]

Background

NXRT has three great writeups on VIC already, but with the stock now down ~50% from the most recent writeup in June 2024 (implied leverage has increased since then from an aggressive ~60% ND/EV to a concerning ~75%) and trading at its lowest level since 2016 (!), I think a fourth writeup is warranted.

To paraphrase the company's history: As an externally managed REIT that runs higher leverage than most REITs, NXRT screens somewhat poorly, but for smart investors willing to do the work there has always been a lot to like. In my opinion, if you wanted to get exposure to the positive sunbelt migration trends circa 2015-2016, NXRT was probably close to the optimal vehicle through which to do it:

- Effectively all other public multifamily REITs have run suboptimal levels of leverage post-GFC (*But AJP, if they lever up, the REIT mafia won't like it! Is this REIT mafia in the room with us? Well, the only member anyone can ever name is Cohen & Steers... maybe all the others are sleeping with the fishes, if they ever even existed at all, because VNQ has returned like 50% cumulatively over the past 15 years.... Anyways I digress, if anyone sees a free REIT CEO role PLEASE let me know*). This enabled NXRT to handily outperform all its public peers up to the spectacular run-up in sunbelt multifamily values in 2021. In fact, NXRT management includes a stock chart in each quarterly filing that shows this outperformance vs every one of its peers – will be interesting to see if they keep this chart next quarter given the recent dip
- On the other hand, many of NXRT's aggressive private competitors ran much higher leverage during the ZIRP run-up, getting totally wiped out when rates went up in 2022. (Tides, S2, etc.)

The Recovery That's Been 1-2 Years Away for the Past Four Years

If these guys are so smart, why are they now approaching financial stress? Because the grinding real estate bear market of the past four years is finally starting to turn, and not in the direction anybody wants.

The big winners in US CRE coming out of the GFC were the mega real estate private equity firms, led by Blackstone. While much of the capital raised has targeted "opportunistic" returns, Blackstone's "buy it, fix it, sell it" days are long gone – as Sam Zell once said, "I heard Blackstone just raised \$10B+ for its latest 'opportunistic' fund... congrats guys! But by the way – what's the opportunity?" Instead, these funds effectively became massive levered carry trades benefiting from decades of declining US interest rates, a strategy that reached its apotheosis with BREIT during ZIRP (yes, I realize BREIT *only* targets low teens returns).

As has been discussed in depth on this forum, the math on this carry trade stopped math'ing when both short and long term rates went from 0-1% in 2021 to ~4-5% by end of 2022... but with no mark-to-market and highly accommodative CRE debt capital markets working for them, most large, diversified, well-run firms have so far avoided the kind of clearing events that have already taken out a handful of firms that were either 1) too aggressively levered, or 2) narrowly focused on secular loser asset classes, such as Life Sciences or Office

In these trying times, how do Blackstone et al. deploy the tens of billions of dollars of capital that America's Foundations and Endowments seem intent on stuffing them with? Apartments! Safest CRE asset class historically – stable FCF – people need a place to live – yea there's a lot of supply from ZIRP but soon there won't be – what's not to love.

To drop the bit for a moment: many very smart investors for whom I have a lot of respect have been long the multifamily recovery trade over the past few years. While I have maintained some skepticism, I have also been long in various ways – as a real estate investor, it's quite difficult not to be, given both the size of the asset class and the almost universal social acceptance that goes along with it. We could all still be right – in that case, if you liked NXRT at \$40 (I did), you'll LOVE its multi-bagger potential at \$20.

But, "The thing about the old days is.... They the old days." Now the 10-year is at 5% – the highest in ~20 years – and short-term rates are now being hiked to who-knows-where. If this continues, US CRE broadly, and multifamily in particular, is in a world of hurt. Outside of a few ultra-specific geographies, even rent growth is unlikely to bail anyone out – yes higher rates will kill the supply pipeline in the short-term (an unfortunate externality of the extremely blunt and I think still poorly understood and wielded tool of using rates to fight inflation) – but with shelter comprising the largest component of CPI, I would challenge someone to construct a scenario in which apartment rents are a secular growth story while the Fed tries to crush inflation broadly using rates.

OK, enough fire and brimstone – back to reality. All of this is 1) far from guaranteed to get worse, 2) in the extremely early stages, and 3) most importantly, already being reflected FIRST and probably too dramatically in the stock price of NXRT in particular, due to its unique-to-public-markets structure.

Would They Actually Sell?

It's impossible to know the motivations of NexPoint founder James Dondero, who owns ~11% of NXRT and probably runs this show, albeit from the background. He did blow up spectacularly once already during the GFC. That said, most knowable facts surrounding NXRT indicate that they could be sellers at a big enough discount to NAV:

1. NXRT's external advisory agreement is one of the most shareholder-friendly in REIT-land – it can be terminated at any time through a board or shareholder vote with no exorbitant termination fee
2. NexPoint overall has \$16-20B of AUM; selling NXRT isn't the end of the empire
3. Management reportedly fielded takeover interest in the past, at much higher valuations
4. Stock has traded at and above NAV in the past – this is not some perpetual discount fee grab

The past few weeks have added a new catalyst: With SOFR on the rise again, NXRT's all-floating-rate balance sheet is beginning to cause a cash flow problem. Again, in normal times I like NXRT's capital structure a lot – they are levered like a prudent private operator, and they actually did a great job during ZIRP both 1) not overextending themselves and 2) swapping out low-rate exposure, when their direct competitors were taking out 80%+ leverage and publicly proclaiming "fixing is for suckers". Nonetheless, here we are – NXRT's last material slug of ~\$700M of ~1% coupon SOFR swaps just rolled off at the beginning of September, and now they're paying near full-freight SOFR on ~\$1.6B of total debt. At this point, the company doesn't cover its ~10% dividend yield on 2026 projections, and the problem will get worse as time goes on. It's worth noting that 4.65% by mid-2028 is the *base case* peak of the current forward SOFR curve – overshooting by a point or two would wipe out effectively all of NXRT's OFCF.

Cap Rate	26E Int. Expense	Int @ SOFR Today	Int @ SOFR Peak
Total Debt	1,622,674	1,622,674	1,622,674
Wavg. SOFR (Effective)	3.30%	3.85%	4.65%
Spread	1.09%	1.09%	1.09%
Effective Rate	4.39%	4.94%	5.74%
2026 NOI	154,120	154,120	154,120
(-) Q2 26 Ann. G&A + Fees	(30,388)	(30,388)	(30,388)
(-) Interest	(71,200)	(80,160)	(93,141)
OCF (Proxy)	52,532	43,572	30,591
Dividend @ \$0.53/sh/qtr	56,244	56,244	56,244
Coverage	0.9x	0.8x	0.5x

Mechanically, the stock probably trades down if/when they cut the dividend... but given the huge discount to NAV, anything that puts the company in play is a massive positive in my mind!

Who Would Buy Them, and for What Price?

In commercial real estate, "liquidity equals value" (Zell again). One of the most attractive things about NXRT is that, under normal market conditions, I'd expect NXRT's portfolio to be about as liquid as any public real estate portfolio could be:

- If any individual asset went up for sale, there would be many dozens of local bidders to buy it
 - The company has disposed of 29 individual assets for \$1.2B since 2016
- If assets were bundled by market (South Florida 21% of NOI, Phoenix 16%, Atlanta 12%, Vegas 11%), I'd expect just about every regional operator in those markets to make a bid
- If the portfolio were shopped wholesale at ~\$2-3B GAV:
 - All the biggest institutional investors would be interested
 - Any number of smaller firms, who could never take down a \$5B+ GAV public company but who nevertheless want to be 'in the game', would also be interested
 - Most of NXRT's public competitors would be interested too! Look how prudent they were with the leverage for the past fifteen years!
 - It's also worth noting that these guys have done a pretty good job managing NXRT so far – despite some lingering Dondero overhang, this management team raising a few hundred million for an MBO and staying in control seems well within the realm of possibility

In sum, everyone in real estate with a mandate to buy multifamily would be licking their chops at the opportunity to buy any subset of NXRT's holdings – and everyone has had a mandate to buy multifamily.

With the music now beginning to slow, figuring out what NXRT is worth today is a bit trickier. I refused to overthink it, slapping a 6 cap for 87% upside to NAV (management NAV I quoted earlier is midpoint 5.5% cap – they'll probably adjust that up next quarter). With SOFR still sub 4%, a 6 cap maybe isn't even negative leverage. Someone will probably lean in there, even if CRE is beginning to look like a falling knife. (3 Zell references in one writeup!! The stuff must really be hitting the fan)

Net Asset Value Calculation	
2026 NOI Guide	154,120
Cap Rate	6.00%
Real Estate Value	2,568,667
Cash	14,626
FMV Swaps*	5,231
GAV	2,588,524
Mortgages	1,543,529
Credit Facility	79,145
NAV	1,044,995
s/o	26,530
NAV/Sh	39.39
Current Share Px	21.04
%Upside	87.2%

Cap Rate	NAV/Sh	%Upside
7.00%	25.56	21.5%
6.75%	28.63	36.1%
6.50%	31.94	51.8%
6.25%	35.52	68.8%
6.00%	39.39	87.2%
5.75%	43.60	107.2%
5.50%	48.19	129.0%

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Catalyst

- We all ride the sunbelt multifamily recovery trade off into the sunset
- Cash flow problems and insider alignment allow public shareholders to realize NAV before it all comes crashing down

Messages

Subject
Entry
Member
Hi ajp,

Questions
09/21/2026 03:45 PM
blaeskobalt

I also own this, and I thought your writeup did an excellent job explaining the (sober) context and how that creates opportunity here - maybe the best REIT writeup I have seen on VIC! A few questions:

- on a cap rate basis, how wide do you think NXRT should price versus CPT/MAA? I don't mean how they should trade as REITs - I mean how a sunbelt B/C portfolio should price versus a similarly-located A/B portfolio in a sale.
- how do you think about NXRT trading risk in the meantime?
- why haven't they already cut the dividend?

Thanks!